

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES
Audited Financial Statements for the Year Ended 31 December 2010



STATEMENT OF FINANCIAL POSITION

	GROUP		BANK	
	2010 KShs'000	2009 KShs'000	2010 KShs'000	2009 KShs'000
ASSETS				
Cash and balances with Central Bank of Kenya	14,033,477	8,551,464	14,033,477	8,551,464
Deposits and balances due from banks	6,741,854	4,642,338	6,671,257	4,642,338
Held-for-trading investments	4,062,391	4,416,800	3,971,005	4,324,459
Held-to-maturity investments	9,954,855	22,081,293	9,954,855	22,081,293
Available-for-sale investments	20,374,111	-	20,372,355	-
Loans and advances to customers	86,618,311	62,274,194	86,618,311	62,274,421
Investment in subsidiaries	-	-	280,000	250,000
Investment in associate	256,441	-	121,090	-
Other assets	5,315,727	2,399,012	5,241,975	2,375,721
Intangible assets	586,939	541,265	333,422	286,454
Prepaid lease rentals	40,091	40,704	40,091	40,704
Property and equipment	6,355,794	5,651,410	6,345,695	5,625,875
Deferred tax asset	-	79,611	-	78,644
TOTAL ASSETS	154,339,991	110,678,091	153,983,533	110,531,373
LIABILITIES & SHAREHOLDERS' EQUITY				
LIABILITIES				
Deposits and balances due to banks	5,348,291	1,010,216	5,348,291	1,010,216
Customer deposits	123,878,422	91,518,733	124,012,039	91,552,508
Loans	138,556	208,827	138,556	203,974
Provisions	56,126	59,176	56,126	59,176
Tax payable	175,582	110,843	171,120	116,347
Other liabilities	4,012,728	1,478,704	3,922,008	1,485,893
Deferred tax liability	134,177	-	132,940	-
TOTAL LIABILITIES	133,743,882	94,386,499	133,781,080	94,428,114
SHAREHOLDERS' EQUITY				
Share capital	3,492,370	3,492,370	3,492,370	3,492,370
Share premium	4,286,736	4,286,736	4,286,736	4,286,736
Reserves	10,685,700	7,071,328	10,410,788	6,989,621
Capital grants	615,611	636,058	615,611	636,058
Proposed dividends	1,396,948	698,474	1,396,948	698,474
	20,477,365	16,184,966		
	118,744	106,626		
Non-controlling interest				
TOTAL SHAREHOLDERS' EQUITY	20,596,109	16,291,592	20,202,453	16,103,259
TOTAL LIABILITIES & SHAREHOLDERS'EQUITY	154,339,991	110,678,091	153,983,533	110,531,373

STATEMENT OF COMPREHENSIVE INCOME

	GROUP		BANK	
	2010 KShs'000	2009 KShs'000	2010 KShs'000	2009 KShs'000
Interest income	12,140,640	9,348,095	12,130,088	9,347,172
Interest expense	(2,638,132)	(2,294,340)	(2,638,132)	(2,294,340)
NET INTEREST INCOME	9,502,508	7,053,755	9,491,956	7,052,832
Fees and commission income	4,384,518	3,415,474	4,179,940	3,298,725
Foreign exchange gain	621,201	375,887	621,201	375,887
Gain on sale of financial instruments	594,651	99,168	596,606	78,253
Changes in fair value of financial instruments held- for-trading	197,406	67,350	153,193	67,350
Amortisation of financial instruments held-to-maturity	-	101,056	-	101,056
Amortisation of capital grants	20,447	20,447	20,447	20,447
Other income	351,183	585,048	340,205	560,218
OPERATING INCOME	15,671,914	11,718,185	15,403,548	11,554,768
Operating expenses:-				
Net impairment losses on loans and advances	(798,666)	(628,384)	(798,666)	(628,384)
Other operating expenses	(9,230,607)	(7,354,106)	(9,045,854)	(7,199,531)
OPERATING EXPENSES	(10,029,273)	(7,982,490)	(9,844,520)	(7,827,915)
OPERATING PROFIT	5,642,641	3,735,695	5,559,028	3,726,853
Share of profit of an associate	129,977	-	-	-
PROFIT BEFORE TAX	5,772,618	3,735,695	5,559,028	3,726,853
INCOME TAX EXPENSE	(1,191,920)	(767,733)	(1,179,797)	(767,997)
PROFIT FOR THE YEAR	4,580,698	2,967,962	4,379,231	2,958,856
OTHER COMPREHENSIVE INCOME				
Change in fair value of available-for-sale investments	353,657	-	348,171	-
Deferred tax on change in fair value of available-for-sale investments	(71,288)	-	(69,634)	-
TOTAL OTHER COMPREHENSIVE INCOME FOR THE YEAR	282,369	-	278,537	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	4,863,067	2,967,962	4,657,768	2,958,856
Profit attributable to:				
Equity holders of the parent entity	4,568,580	2,975,831		
Non-controlling interest	12,118	(7,869)		
Comprehensive income attributable to:				
Equity holders of the parent entity	4,850,949	2,975,831		
Non-controlling interest	12,118	(7,869)		
Basic and Diluted Earnings per share (KShs)	1.31	0.85	1.25	0.85

STATEMENT OF CHANGES IN EQUITY

GROUP	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserves KShs'000	Statutory Reserves KShs'000	Fair Value Reserve KShs'000	Proposed Dividends KShs'000	Retained Earnings KShs'000	Total Attributable to equity holder of the company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2010	3,492,370	4,286,736	354,039	203,019	-	698,474	6,432,563	15,467,201	-	15,467,201
Total comprehensive income:										
Profit for the year	-	-	-	-	-	-	4,568,580	4,568,580	12,118	4,580,698
Other comprehensive income	-	-	-	-	278,631	-	-	278,631	-	278,631
Share of other comprehensive income in associate	-	-	-	-	3,762	-	-	3,762	-	3,762
Reclassification of prior year fair value	-	-	-	-	(24)	-	24	-	-	-
Realisation of revaluation surplus	-	-	(9,071)	-	-	-	9,071	-	-	-
Deferred tax on realisation of revaluation surplus	-	-	1,814	-	-	-	-	1,814	-	1,814
Prior year deferred tax	-	-	-	-	-	-	1,814	1,814	-	1,814
Net movement in revenue grants for the year	-	-	-	-	-	-	156,719	156,719	-	156,719
Transfers to statutory reserve	-	-	-	1,935	-	-	(1,935)	-	-	-
Dividends paid	-	-	-	-	-	(698,474)	-	(698,474)	-	(698,474)
Proposed dividends	-	-	-	-	-	1,396,948	(1,396,948)	-	-	-
Balance at 31 December 2010	3,492,370	4,286,736	346,782	204,954	278,537	1,396,948	9,580,515	19,586,842	-	19,586,842
BANK										
Balance at 1 January 2010	3,492,370	4,286,736	354,039	203,019	-	698,474	6,432,563	15,467,201	-	15,467,201
Total comprehensive income:										
Profit for the year	-	-	-	-	-	-	4,379,231	4,379,231	-	4,379,231
Other comprehensive income	-	-	-	-	278,537	-	-	278,537	-	278,537
Realisation of revaluation surplus	-	-	(9,071)	-	-	-	9,071	-	-	-
Deferred tax on realisation of revaluation surplus	-	-	1,814	-	-	-	-	1,814	-	1,814
Prior year deferred tax	-	-	-	-	-	-	1,814	1,814	-	1,814
Net movement in revenue grants for the year	-	-	-	-	-	-	156,719	156,719	-	156,719
Transfer to statutory reserves	-	-	-	1,935	-	-	(1,935)	-	-	-
Dividends paid	-	-	-	-	-	(698,474)	-	(698,474)	-	(698,474)
Proposed dividends	-	-	-	-	-	1,396,948	(1,396,948)	-	-	-
Balance at 31 December 2010	3,492,370	4,286,736	346,782	204,954	278,537	1,396,948	9,580,515	19,586,842	-	19,586,842

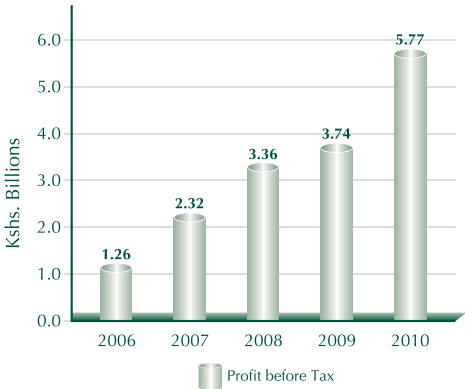
PROPOSED DIVIDEND

The Directors have resolved to recommend to the Members at the forthcoming Annual General Meeting, the payment of a first and final dividend for the year 2010 of 40 cents for every ordinary share of KShs 1 to be paid on or about 24th June 2011 to the shareholders in the Company's Register as at the close of business on 3rd June 2011. The register of members will be closed for one day on 6th June 2011 for the preparation of dividend warrants.

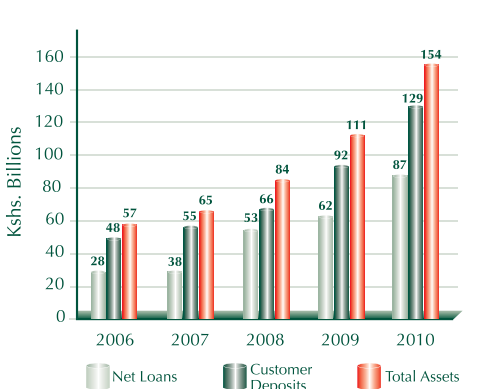
STATEMENT OF CASH FLOWS

	GROUP		BANK	
	2010 KShs'000	2009 KShs'000	2010 KShs'000	2009 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES:-				
Profit before tax	5,772,618	3,735,695	5,559,028	3,726,853
Adjustments for:-				
Depreciation	853,354	605,389	849,647	600,100
Amortisation of prepaid lease rentals	613	613	613	613
Net impairment on property, equipment and intangible assets	16,713	(3,892)	16,713	(4,583)
Net gain on acquisition	-	(17,142)	-	-
Net movement in revenue grants	156,719	(31,631)	156,719	(36,252)
Movement in provisions	345	(272,866)	345	(213,689)
Amortization of intangible assets	96,917	84,495	95,623	82,383
Amortization of capital grants	(20,447)	(20,447)	(20,447)	(20,447)
Gain on disposal of property and equipment	(4,173)	(1,345)	(4,173)	(1,345)
Foreign exchange gain	(554,023)	(99,168)	(554,023)	(78,253)
Changes in fair value of financial instruments held-for-trading	(197,406)	(67,350)	(153,193)	(67,350)
Share of profit in associate	(129,997)	-	-	-
Amortisation of financial instruments held-to-maturity	-	(101,056)	-	(101,056)
Cash flows from operating activities before working capital changes	5,991,253	3,811,296	5,946,852	3,886,974
Advances to customers	(24,344,462)	(9,365,651)	(24,344,235)	(9,365,878)
Other assets	(2,891,264)	(575,571)	(2,840,498)	(594,659)
Deposits from customers	32,359,689	25,665,008	32,459,531	25,618,055
Deposits from banks	4,338,075	(215,212)	4,338,075	(215,211)
Other liabilities	2,530,974	(609,011)	2,433,065	(628,549)
Central Bank of Kenya cash reserve ratio	(1,432,502)	(535,611)	(1,432,502)	(535,611)
Held-to-maturity investments	3,802,809	(10,204,943)	3,802,809	(10,211,020)
Held-for-trading investments	331,951	(650,386)	286,783	(625,395)
Available-for-sale investments	(6,729,464)	-	(6,727,819)	-
Equity investments held-for-trading	1,100	1,400	1,100	1,400
Cash generated by operating activities	13,958,159	7,321,319	13,923,161	7,330,106
Tax paid	(980,723)	(800,320)	(979,446)	(794,363)
Net cash flows from operating activities	12,977,436	6,520,999	12,943,715	6,535,743
CASH FLOWS FROM INVESTING ACTIVITIES:-				
Purchase of property and equipment	(1,602,903)	(2,301,714)	(1,588,670)	(2,278,962)
Purchase of software	(142,591)	(55,874)	(142,591)	(54,477)
Proceeds from disposal of property and equipment	32,625	25,827	6,663	20,060
Acquisition of a subsidiary	-	-	-	(150,000)
Purchase of additional shares in subsidiaries	-	-	(30,000)	-
Purchase of additional shares in associate	(100,000)	-	(100,000)	-
Acquisition of a subsidiary, net of cash acquired	-	(145,291)	-	-
Net cash flows used in investing activities:-	(1,812,869)	(2,477,052)	(1,854,598)	(2,463,379)
CASH FLOWS FROM FINANCING ACTIVITIES:-				
Loan received	-	62,000	-	62,000
Dividends paid	(698,474)	(349,237)	(698,474)	(349,237)
Loans paid	(70,271)	(156,365)	(65,418)	(161,219)
Net cash flows used in financing activities	(768,745)	(443,602)	(763,892)	(448,456)
Net movement in cash and cash equivalents	10,395,822	3,600,345	10,325,225	3,623,908
Cash and cash equivalents at the beginning of the year	14,700,377	11,000,865	14,700,377	10,998,216
Foreign exchange gain	554,023	99,168	554,023	78,253
Cash and cash equivalents at 31 December	25,650,222	14,700,377	25,579,625	14,700,377

Sustainable Profitability



Loans, Customer Deposits and Total Assets



MESSAGE FROM THE DIRECTORS

The above are extracts from the Bank's financial statements which have been audited by Ernst & Young and received an unqualified opinion. A full set of these financial statements will be available for inspection on our website www.co-opbank.co.ke and at our registered office at Co-operative House after approval by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 09th March 2011 and signed on its behalf by: -

S.C. Muchiri, EBS - Group Chairman

J. Riungu - Vice Chairman

G.M. Muriuki, OGW - Group Managing Director & CEO

R. M. Githaiga (Mrs.) - Company Secretary